



Qualification Programme Examination Panelist's Report
Module 6 – Financial Accounting
(June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 15 multiple choice questions which tested the candidates' knowledge in relation to the following topics:

- Q1 HKFRS 13 *Fair Value Measurement*
- Q2 HKICPA *Conceptual Framework for Financial Reporting 2018*
- Q3 HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*
- Q4 HKAS 38 *Intangible Assets*
- Q5 HKAS 21 *The Effect of Changes in Foreign Exchange Rates*
- Q6 HKAS 12 *Income Taxes*
- Q7 HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*
- Q8 HKAS 40 *Investment Properties*
- Q9 HKAS 1 *Presentation of Financial Statements*
- Q10 HKAS 24 *Related Party Disclosures*
- Q11 HKAS 23 *Borrowing Costs*
- Q12 HKAS 2 *Inventories*
- Q13 HKAS 36 *Impairment of Assets*
- Q14 HKAS 7 *Statement of Cash Flows*
- Q15 HKFRS 9 *Financial Instruments*

Questions 1 to 10 covered simpler concepts / computations and they were worth 1 mark each. Questions 11 to 15 covered more complicated concepts / computations and they were worth 2 marks each.

The wide range of topics in the syllabus seems to be one of the difficulties for candidates. Candidates were weak in certain topics as they might not have revised adequate coverage of every topic in the syllabus when they prepare for the examination.

Specific Comments

Candidates showed weaknesses in the following topics:

- HKFRS 13 *Fair Value Measurement*
- HKAS 38 *Intangible Assets*
- HKAS 1 *Presentation of Financial Statements*
- HKAS 24 *Related Party Disclosures*
- HKAS 23 *Borrowing Costs*
- HKAS 2 *Inventories*

In particular, candidates were rather weak in answering conceptual questions as they might not have a thorough understanding about the details of the accounting standards. For example, in Q10, the question tested the candidates on the concepts of HKAS 24 *Related Party Disclosures*. Many candidates failed in getting the correct answer as they did not realise HKAS 24.11 indicated the following are not related parties:

- (a) **two entities simply because they have a director or other member of key management personnel in common** or because a member of key management personnel of one entity has significant influence over the other entity.
- (b) **two joint venturers simply because they share joint control of a joint venture.**

Candidates should pay attention to the details of the accounting standards and get a thorough understanding on the important concepts. For example, how to calculate the weighted-average cost of borrowing of general loans is indeed an important concept in HKAS 23 *Borrowing Costs*. However, many candidates missed out this important concept and were not able to find out the correct answer in Q11.

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their knowledge as well as their ability in applying appropriate accounting treatments to specific financial reporting situations.

Candidates performed relatively better in the preparation of financial statements for a single entity. However, they were rather weak in doing consolidation for a business group.

It appears that many candidates did not have a good understanding of the accounting standards and they had difficulties in applying relevant requirements to the context.

In general, performance in this section was unsatisfactory.

Specific Comments

Question 1(a) – 25 Marks

This question required candidates to prepare a consolidated statement of financial position and a consolidated statement of profit or loss for a simple business group.

The performance was not satisfactory. Although it was a typical consolidation question (to consolidate a parent company and a subsidiary), candidates had difficulties in tackling the consolidation adjustments for (1) revaluation of net assets at acquisition date and the corresponding effects in subsequent years; (2) intra-group transactions; and (3) non-controlling interests.

In particular, many candidates were unable to adjust correctly the net book value of Property, Plant and Equipment due to the revaluation at the acquisition date. They were also unable to adjust the subsequent effects on depreciation correctly (depreciation expense and accumulated depreciation should be adjusted upwards **in each of the current and prior two years**).

Surprisingly, many candidates did not know how to calculate non-controlling interests (NCI) at the acquisition date **on the basis of NCI's proportionate share of subsidiary's identifiable net assets**, and this made the computation of goodwill wrong accordingly.

Furthermore, many candidates failed to make proper adjustments for intra-group transactions. For inventory transfer, they were unable to calculate correctly the **unrealised profits under a basis of mark-up on cost**. And candidates were unsure how to handle **cash in transit**.

A lot of the candidates also failed to calculate the share of (**adjusted**) retained earnings and (**adjusted**) current year profits with non-controlling interests. Many students also had difficulties in arriving at a correct figure for the share of (**adjusted**) profits from associate.

Question 1(b) – 5 Marks

This question required candidates to determine whether reputation could be capitalized as goodwill in accordance with HKAS 38 *Intangible Assets*.

The performance was not satisfactory. While many candidates were able to point out that reputation (internally generated goodwill) could not be recognized on the statement of financial position, they were unable to provide explanations in accordance with HKAS 38.

Although internally generated goodwill may generate future economic benefits, it does not result in the creation of an intangible asset. As stated in HKAS 38.49, internally generated goodwill is not recognized as an asset because it is not an identifiable resource (i.e. it is not separable nor does it arise from contractual or other legal rights) controlled by the entity that can be measured reliably at cost.

Question 2 – 20 Marks

This question required candidates to prepare a statement of profit or loss and a statement of financial position based on an unadjusted trial balance for a single entity.

The performance was fair. In general, candidates were able to structure the financial items in the financial statements. However, they had difficulties in doing some of the required adjustments. In particular:

- most candidates were unable to adjust sales revenue for a contract (with combined sales of equipment and maintenance service) in accordance with HKFRS 15 *Revenues from Contracts with Customers*.
- many candidates failed to calculate the appropriate depreciation charge for a change of the equipment's estimated useful life and residual value in accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*.
- a lot of the candidates did not know how to adjust the trade receivable for the bankruptcy of a customer (an adjusting event under HKS10 *Events after the Reporting Period*). They were unsure about the concept of credit loss allowance.

Question 3 – 10 Marks

This question required candidates to prepare journal entries for the revaluation of plant in the prior year (2019) and the current year (2020) according to HKAS 16 *Property, Plant and Equipment*.

The performance was unsatisfactory. In general, candidates were able to calculate the initial cost of the plant. However, they were not aware that the plant was only ready for use on 1 July 2019 (with estimated useful life of 49.5 years) and there's just half-year depreciation for the year ended 31 December 2019. Furthermore, most candidates failed to prepare the correct entry for the revaluation at the year end. There was **a revaluation downwards** which should be accounted for as a **revaluation loss in the profit or loss account**.

The majority of the candidates were also unable to work out the revaluation at 31 December 2020. There's a revaluation upwards of at the year. However, a lot of the candidates were not aware that they should **first reverse the previous year revaluation loss through the profit or loss account, then recognise the remaining difference through the revaluation surplus in other comprehensive income**.

Question 4(a) – 7 Marks

This question required candidates to determine the classification of a lease contract from the perspective of the lessor in accordance with HKFRS 16 *Leases*.

The performance was fair. Many candidates were able to apply the relevant criteria in the accounting standard for evaluation of the classification, although some of them eventually concluded a wrong classification.

Furthermore, quite many candidates failed to arrive at a correct figure for the present value of the minimum lease payments due to a number of reasons. Some of them miscalculated the present value with lease payments payable in advance (should be payable in arrears according to the question). Some of them used the wrong discount rate (should use the 7% interest rate implicit in the lease instead of the 6% weighted-average cost of capital). Some of them did not include the guaranteed residual value at the end of the lease term.



Question 4(b) – 5 Marks

This question required candidates to prepare the journal entries **for the lessor** with regard to the lease.

The performance was far less than satisfactory. Many candidates failed to apply the appropriate accounting treatments for lessor accounting with a finance lease (initial recognition of lease receivable and subsequent recognition of interest revenue).

Question 4(c) – 8 Marks

This question required candidates to prepare the journal entries **for the lessee** with regard to the lease.

The performance was fair. In general, candidates were able to apply the appropriate accounting treatments for lessee accounting (initial recognition of right-of-use assets and lease liability, and also the subsequent recognition of interest expense and asset depreciation) though some of them could not give correct calculations.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was unsatisfactory for both Section A and Section B.

Candidates are advised to revisit the fundamental requirements of financial reporting standards that are commonly used in practice, on top of those that become effective in recent years.

Candidates are advised to provide workings on calculations since partial marks may be given to correct workings even though the final answer is wrong.

Candidates are reminded to read the question carefully and apply the appropriate accounting treatments as required in the question (e.g. candidates were required to work on lessor accounting in question 4(b) and lessee accounting in question 4(c) but some candidates wrongly did the opposite).

Candidates are reminded to make a reasonable attempt to answer each part of the questions.